0452 • PAPER 2

TOPIC

03

Verification of accounting records

Questions only • Original examination pages retained

28

QUESTIONS

568

TOTAL MARKS

4

SECTIONS

USE THE TRACKER • ATTEMPT WITHOUT NOTES • MARK • REVIEW ERRORS

TOPIC CONTENTS

Quick navigation and progress overview

3.1 The trial balance

#	SOURCE	MARKS	DONE	MARK	REVIEW

3.2 Correction of errors

#	SOURCE	MARKS	DONE	MARK	REVIEW
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02	May/June 2021 - Paper 22 - Question 5	20	☐	☐	☐
03	Oct/Nov 2021 - Paper 21 - Question 3	20	☐	☐	☐
04	Oct/Nov 2021 - Paper 22 - Question 4	20	☐	☐	☐
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3.2 Correction of errors

#	SOURCE	MARKS	DONE	MARK	REVIEW
15	May/June 2025 - Paper 22 - Question 4	20	☐	☐	☐
16	Oct/Nov 2025 - Paper 22 - Question 2	20	☐	☐	☐

3 Rachel prepared her trial balance at 31 January. The total of the debit side was more than the total of the credit side. Rachel entered the difference in a suspense account.

(a) Explain how the use of a suspense account allows a draft statement of financial position to be prepared.

....

....

....

....

.... [2]

Rachel later discovered the following errors.

1 A repair to the premises, $220, had been debited to the premises account.

2 The purchase of a motor vehicle, $3400, on credit from Neil's Wheels, had not been recorded in the accounting records.

3 Both the sales journal and the purchases journal had been overcast by $100.

4 Returns inwards, $19, had not been recorded in the returns inwards account.

5 Bank interest received, $25, had been debited to the bank charges account. The entry in the bank account had been correctly made.

REQUIRED

(b) Prepare the journal entries to correct errors 1–5. Narratives are **not** required.

Rachel
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[11]

(c) State the number of the error which is

(i) a compensating error

.... [1]

(ii) an error of omission

.... [1]

(d) Complete the table to indicate the **effect** of **each** error on gross profit and on profit for the year. The first one has been completed as an example.

Error number	Gross Profit			Profit for the year		
	No effect	Understated $	Overstated $	No effect	Understated $	Overstated $
1	✓					*220*
2						
3						
4						
5						

[4]

(e) State why a balance may remain on the suspense account after errors 1–5 have been corrected.

....

....

.... [1]

[Total: 20]

5 Kia is a trader.
The totals of the trial balance prepared on 30 April 2021 did not agree and the difference was placed in a suspense account.

Kia later discovered the errors shown in the table in part **(a)**.

REQUIRED

(a) Complete the following table to show the entries required to **correct each** error.
The first one has been completed as an example.

Error	Entries required to correct the error			
	Debit		Credit	
	Account	$	Account	$
Cash drawings, $200, had been omitted from the drawings account.	*Drawings*	*200*	*Suspense*	*200*
A petty cash book payment, $31, to Abel, a supplier, had been recorded in the column for office expenses.	....	....	....	....
Sales returns, $105, had been correctly entered in the customer's account but had been credited to the purchases returns account.	....	....	....	....
A payment for motor expenses, $72, had been recorded in the motor expenses account as $172.	....	....	....	....
A purchase invoice, $102, from Abel, had been debited to Abel's account and credited to the purchases account.	....	....	....	....

[9]

(b) Prepare the suspense account. Include the original difference on the trial balance, as a balancing figure.

Kia
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(c) The account for Abel in Kia's books showed that Kia owed him $327 **before** the errors were corrected. Calculate the correct amount which Kia owed Abel at 30 April 2021.

....

....

....

.... [3]

Kia has recorded the purchase of a calculator, $5, as an office expense.

REQUIRED

(d) State **three** reasons why Kia did **not** record this as a non-current asset.

1 ....

....

2 ....

....

3 ....

....

[3]

[Total: 20]

BLANK PAGE

3 Anil is a trader. The totals of the trial balance he prepared on 31 December 2020 did not agree. The debits exceeded the credits by $5140.

The following errors were later discovered.

1 The sales account had been undercast by $7100.

2 Sales returns of $520 had been posted as a credit to the purchases account. The correct entry had been made in the customer's account.

3 Bank charges of $320 had been correctly entered in the cash book, but had not been entered in the bank charges account.

4 A cheque refund of $600 for insurance overpaid had been entered on the wrong side of the bank account and no entry had been made in the insurance account.

REQUIRED

(a) Prepare journal entries to correct errors 1 to 4. Narratives are **not** required.

Anil
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[12]

(b) Complete the suspense account.

Anil
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	*Difference on trial balance*	*5140*
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[6]

(c) Name **two** types of error **not** disclosed by a trial balance.

1 ....

2 ....

[2]

[Total: 20]

PLEASE TURN OVER

4 Nikita is a trader. The totals of her trial balance at 30 June 2021 did not agree. The debits exceeded the credits by $2600. Nikita opened up a suspense account.

The following errors were later discovered.

1 Insurance of $2500 had been entered as $4500 in the insurance account. The correct entry had been made in the cash book.

2 The total of the discount received column in the cash book of $500 had been debited to the discount allowed account in the general ledger.

3 Credit sales of $1400 to Kajal had been correctly entered in the sales account, but debited as $1000 in Kajal's account.

4 A cheque of $700 received from Anisah had been correctly entered in the cash book, but credited to Aisha's account.

REQUIRED

(a) Prepare journal entries to correct errors 1 to 4. Narratives are **not** required.

Nikita
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[10]

20 MARKS

(b) Prepare the suspense account. Start with the difference on the trial balance.

Nikita
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(c) Complete the statement to show the effect on the profit for the year of **correcting** errors 1 to 4.

Where the error does not affect profit write 'no effect'. Calculate the corrected profit for the year.

Nikita
Statement of corrected profit for the year ended 30 June 2021

	Increase in profit $	Decrease in profit $	$
Profit for the year before corrections			28 000
Error 1	....	....	
Error 2	....	....	
Error 3	....	....	
Error 4	....	....	
	__________	__________	
	__________	__________	__________
Corrected profit for the year			__________

[5]

[Total: 20]

3 Mosi is a trader. The totals of his trial balance at 30 April 2022 did not agree and the difference was placed in a suspense account.

Mosi later discovered the following errors.

1 Commission received, $96, had been debited to the discount received account. The entry to the bank account was correctly made.

2 The total of the sales journal for April 2022, $1258, was transferred to the sales account as $2185.

3 A cheque payment for motor expenses, $77, had been omitted from the book-keeping records.

4 A payment by electronic transfer, $135, was recorded as a payment in the petty cash book.

5 An invoice received from Tracey, $160, was credited to the account for Stacey.

REQUIRED

(a) Prepare the journal entries to correct errors 1–5. Narratives are **not** required.

11

Mosi
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[11]

(b) Prepare the suspense account. Include the original difference on the trial balance as a balancing figure.

Mosi
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

Mosi's original draft profit, before correcting the errors, was $39 970.

REQUIRED

(c) Calculate Mosi's corrected profit for the year ended 30 April 2022.

....

....

....

....

....

....

....

....

....

....

.... [5]

[Total: 20]

2 Rai is a trader. He has prepared his trial balance at 31 January 2023. The credit side totalled $152 more than the debit side. Rai placed the difference in a suspense account.

Rai later discovered the following errors.

1 Wages, $200, had been entered in the cash book but omitted from the wages account.

2 A credit purchase, $247, from Stella, had been debited to Stella's account and credited to the purchases account.

3 The rent payable account and the sales account had both been overcast by $100.

4 A cheque for motor expenses, $75, had been debited twice to the motor expenses account.

5 A payment to Jasper, $196, had been recorded as $169 in Jasper's account.

REQUIRED

(a) Prepare the journal entries to correct errors 1–5. Narratives are **not** required.

Rai
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[10]

(b) Prepare the suspense account.

Rai
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

Rai's original draft profit, before correcting the errors, was $9800.

REQUIRED

(c) Calculate Rai's profit **after** correction of errors 1–5.

....

....

....

....

....

.... [4]

Rai's trial balance was used to check the arithmetical accuracy of the ledger accounts. His journal was used to correct the errors found.

REQUIRED

(d) State:

(i) **one** other use of the trial balance

....

.... [1]

(ii) **one** other use of the journal.

....

.... [1]

[Total: 20]

9

BLANK PAGE

3 Eshe is a trader. She has prepared a trial balance at 31 March 2023. The totals did not agree and the difference was placed in a suspense account.

Eshe later discovered the errors shown in the following table.

REQUIRED

(a) Complete the table to show the entries required to correct each error. The first one has been completed as an example.

Error	Entries required to correct the error			
	Debit		Credit	
	Account	$	Account	$
A payment for rent, $300, had been debited to the insurance account.	*Rent paid*	*300*	*Insurance*	*300*
Credit sales to Raymond of $105 had been debited to the sales account and credited to Raymond's account.	....	....	....	....
Eshe's total drawings from the bank for her own use, $9500, had been debited to the cash account.	....	....	....	....
A purchases invoice from Danika for $137 had been recorded in her account and in the purchases journal as $173.	....	....	....	....
Returns inwards, $44, had not been recorded in the returns inwards account.	....	....	....	....
The motor expenses account had been overcast by $100.	....	....	....	....

[10]

(b) Prepare the suspense account. Include the balancing figure as the original difference on the trial balance.

Eshe
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[3]

Eshe's capital at 1 April 2022 was $31 000. Her draft profit for the year ended 31 March 2023 **before** correction of the errors was $15 600.

REQUIRED

(c) Calculate Eshe's capital at 31 March 2023 **after** the errors have been corrected.

....

....

....

....

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....

....

....

....

....

....

.... [7]

[Total: 20]

2 Ramla has calculated her draft profit figure for the year ended 28 February 2023. Adjustments in Ramla's ledger accounts have still to be made for the following items.

1 An amount of $99 owed to Ramla by Mai is to be written off as irrecoverable.

2 Fixtures and fittings, $875, were purchased on credit from Padma.

3 A loan repayment, $500, had been incorrectly recorded as loan interest.

4 Rent paid, $350, had been recorded as $530.

5 Drawings, $120, had been debited to the wages account.

REQUIRED

(a) Prepare the journal entries required for items 1–5. Narratives are **not** required.

Ramla
Journal

Item number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[10]

(b) Complete the following table by entering the amount of each adjustment required to calculate Ramla's adjusted profit. If an item has no effect on profit, enter zero (0) in the 'no effect on profit' box.

Item	Increase in profit $	Decrease in profit $	No effect on profit	Profit $
Draft profit				11 650
1				
2				
3				
4				
5				
Adjusted profit				

[6]

(c) Explain

(i) how the journal for item 1 complies with the prudence principle.

....

....

....

.... [2]

(ii) how the journal for item 5 complies with the business entity principle.

....

....

....

.... [2]

[Total: 20]

4 Rachel is a trader.
The totals of Rachel's trial balance prepared on 30 September 2023 did not agree and the difference was placed in a suspense account.

Rachel later discovered the errors shown in the following table.

REQUIRED

(a) Complete the following table to show the entries required to correct **each** error. The first one has been completed as an example.

Error	Entries required to correct the error			
	Debit		Credit	
	Account	$	Account	$
A payment for rent, $350, had been debited to the wages account.	*Rent payable*	*350*	*Wages*	*350*
The sales journal for September had been overcast by $90.	....	....	....	....
	....	....	....	....
Sales returns, $110, had been recorded as purchases returns.	....	....	....	....
	....	....	....	....
	....	....	....	....
	....	....	....	....
A payment for office expenses, $18, had been recorded in the office expenses account as $81.	....	....	....	....
	....	....	....	....
A petty cash book payment, $29, to Cole, a supplier, had been recorded in the column for motor expenses.	....	....	....	....
	....	....	....	....

[9]

(b) Prepare the suspense account. Include the balancing figure as the original difference on the trial balance.

Rachel
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

Rachel's draft profit before the errors were discovered was $18 243.

REQUIRED

(c) Calculate Rachel's profit for the year ended 30 September 2023 **after** the errors in the table have been corrected.

....

....

....

....

....

....

....

....

....

.... [5]

(d) State why financial statements may still be reliable even if errors are present.

....

.... [1]

[Total: 20]

3 Akil prepared his trial balance at 29 February 2024. The total of the debit side was $83 640 and the total of the credit side was $84 025.

Akil later discovered the following errors.

1 The total of the sales journal for January 2024, $3416, had been credited to the sales returns account.

2 A direct debit for insurance, $115, had been credited to both the bank account and the insurance account.

3 Discount allowed, $47, had been credited to the account for discount received.

4 A payment for office equipment, $52, had been debited to the stationery account.

5 The purchases journal for February had been overcast by $90.

REQUIRED

(a) State

(i) which business document shows when the direct debit for insurance was paid

.... [1]

(ii) which of the errors listed in 1 to 5 above is an error of principle

.... [1]

11

(b) Prepare the journal entries to correct errors 1 to 3 **only**. Narratives are **not** required.

Akil
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[7]

(c) **(i)** State why a balance may remain on the suspense account after errors 1 to 5 have been corrected.

....

.... [1]

(ii) Prepare the suspense account. Bring down any remaining balance at 1 March 2024.

Akil
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

Akil's draft profit for the year, before correction of the errors, was $17 420.

REQUIRED

(d) Calculate Akil's profit **after** items 1 to 5 have been corrected.

....

....

....

....

....

....

.... [5]

[Total: 20]

13

BLANK PAGE

3 Akil prepared his trial balance at 29 February 2024. The total of the debit side was $83 640 and the total of the credit side was $84 025.

Akil later discovered the following errors.

1 The total of the sales journal for January 2024, $3416, had been credited to the sales returns account.

2 A direct debit for insurance, $115, had been credited to both the bank account and the insurance account.

3 Discount allowed, $47, had been credited to the account for discount received.

4 A payment for office equipment, $52, had been debited to the stationery account.

5 The purchases journal for February had been overcast by $90.

REQUIRED

(a) State

(i) which business document shows when the direct debit for insurance was paid

.... [1]

(ii) which of the errors listed in 1 to 5 above is an error of principle

.... [1]

(b) Prepare the journal entries to correct errors 1 to 3 **only**. Narratives are **not** required.

Akil
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[7]

(c) (i) State why a balance may remain on the suspense account after errors 1 to 5 have been corrected.

....

.... [1]

(ii) Prepare the suspense account. Bring down any remaining balance at 1 March 2024.

Akil
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

Akil's draft profit for the year, before correction of the errors, was $17 420.

REQUIRED

(d) Calculate Akil's profit **after** items 1 to 5 have been corrected.

....

....

....

....

....

....

.... [5]

[Total: 20]

BLANK PAGE

3 Natalie prepared her trial balance at the end of the year 31 March 2024. The totals did not agree and she had to open a suspense account. The debit side of the trial balance was $357 higher than the credit side.

Natalie later discovered the following errors.

1 A bank transfer, $420, received from a credit customer Sarah had been correctly recorded in the bank but no other entry had been made.

2 Natalie contributed a personal vehicle to the business valued at $7000. This had been debited to the capital account and credited to the vehicle maintenance account.

3 Purchases of $270 had been correctly entered in the suppliers account but had been debited as $207 in the purchases account.

4 No entry had been made for general expenses, $126, paid by bank transfer.

5 Cash drawings of $200 had been debited to the cash account and credited to the drawings account.

REQUIRED:

(a) Prepare the journal entries on page 11 required to correct errors 1 to 5. Narratives are **not** required.

Natalie
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[10]

(b) Prepare the suspense account at 31 March 2024.

Natalie
Suspense Account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[3]

(c) Complete the table by identifying the type of errors that occurred in errors 4 and 5.

Error Number	Error type
Error 4	
Error 5	

[2]

(d) Complete the table below by placing a tick (✓) in the appropriate column to indicate the effect on the profit for the year **after** correcting each of the errors.

Error Number	Effect on profit		
	decrease	increase	no effect
Error 1			
Error 2			
Error 3			
Error 4			
Error 5			

[5]

[Total: 20]

3 Samira has been trading for many years and has a debit bank balance. She prepared her trial balance at 31 January 2025. The total of the credit side was more than the total of the debit side. Samira entered the difference in a suspense account.

Samira later discovered the following errors.

1 A repair to equipment, $175, had been debited to the equipment account.

2 A credit transfer, $132, from David, a trade receivable, had been debited to David's account and credited to the bank account.

3 A repayment of a bank loan, $2500, had been debited to bank charges.

4 A bank payment for stationery, $21, had been recorded as $12.

5 Sales returns, $40, had been recorded as purchases returns.

REQUIRED

(a) Prepare the journal entries to correct errors 1–5. Narratives are **not** required.

Samira
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
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....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[11]

12

(b) Complete the table to indicate the effect of **each** error on profit for the year and on the bank balance. Indicate whether the effect is overstated or understated and by how much. If there is no effect, write 'no effect' in the box.

The first one has been completed as an example.

Error number	Effect on profit for the year	Effect on bank balance
1	*Overstated by $175*	*No effect*
2		
3		
4		
5		

[4]

Before the errors were corrected, the **debit** side of Samira's trial balance totalled $97 400.

REQUIRED

(c) Calculate the trial balance total **after** the errors have been corrected.

....

....

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....

.... [3]

(d) State the number of **one** error from 1–5 which is:

(i) an error of principle

.... [1]

(ii) an error of original entry.

.... [1]

[Total: 20]

DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN NOT WRITE IN THIS MARGIN

13

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3 Nabil prepared a trial balance at 30 April 2025. The total of the debit side was $95 428, and the total of the credit side was $95 156. Nabil placed the difference in a suspense account.

Nabil later discovered the errors shown in the table in **part (a)**.

REQUIRED

(a) Complete the following table to show the entries required to correct **each** error. The first one has been completed as an example.

Error	Entries required to correct the error			
	Debit		Credit	
	Account	$	Account	$
A payment for wages, $425, had been debited to the purchases account.	*Wages*	*425*	*Purchases*	*425*
Discount allowed, $19, had been credited to the discount allowed account.	....	....	....	....
The total of the sales journal for April 2025 was undercast by $100.	....	....	....	....
A bank payment for purchases, $170, had **not** been recorded in the books of account.	....	....	....	....
Bank charges, $15, had been recorded as $105.	....	....	....	....
A bank payment for insurance, $210, was debited to the bank account. No other entries were made.	....	....	....	....

[11]

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

(b) Prepare the suspense account at 30 April 2025.

Nabil
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

Nabil's cash at bank balance before the errors were discovered was $935.

REQUIRED

(c) Calculate Nabil's bank balance at 30 April 2025 **after** the errors in the table in **part (a)** have been corrected.

....

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.... [4]

(d) State **one** use of a bank statement.

....

.... [1]

[Total: 20]

4 Bilal prepared a trial balance at 31 December 2024.

Bilal later discovered the following errors.

1 Goods taken for Bilal's own use, costing $185, had been recorded as cash drawings.

2 Motor expenses, $63, paid by bank transfer, had been recorded as $36.

3 Capital introduced by Bilal, $2000, had been credited to a bank loan account.

4 A purchase invoice, $84, from Maya, had been debited to the account for Moira and credited to the purchases account.

5 Bilal's private insurance, $130, had been recorded as business insurance.

REQUIRED

(a) Prepare the journal entries on **page 15** to correct errors 1–5. Narratives are **not** required.

Bilal
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
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....	....	....	....

[11]

The balance on the capital account at 1 January 2024 was $6200.

Before correcting the errors:

- original profit for the year was $12 930
- drawings were $11 260.

REQUIRED

(b) Calculate Bilal's profit for the year after correcting errors 1–5.

	$
Original profit for the year	*12 930*
Profit for the year **after** correcting errors	

[5]

(c) Calculate the balance on the capital account at 31 December 2024.

	$
Balance on capital account at 1 January 2024	*6 200*
Balance on capital account at 31 December 2024	

[4]

[Total: 20]

BLANK PAGE

2 Jaya is a trader. Her financial year ends on 31 July.

The totals of her trial balance at 31 July 2025 did **not** agree.

REQUIRED

(a) (i) Name the account that Jaya would need to open to enable her trial balance totals to agree.

.... [1]

(ii) State the primary purpose of this account.

.... [1]

Jaya later discovered the following five errors:

1. **No** entry had been made for distribution costs of $320 paid by bank transfer.
2. Closing inventory had been recorded as $12 200 instead of $12 900.
3. Purchases returns of $95 had been correctly entered in the credit supplier's account but had been debited to the sales returns account.
4. A cheque for $225 received from ABC wholesalers, a credit customer, had been correctly entered in the cash book, but **no** other entry had been made.
5. Property maintenance costs of $1220 had been incorrectly charged to the land and buildings account.

REQUIRED

(b) Prepare the journal entries to correct errors 1 to 5. Narratives are **not** required.

Jaya
Journal

Error number	Details	Debit $	Credit $

[9]

(c) Name **two** types of error that will **not** be revealed by the trial balance.

1 ....

2 ....

[2]

(d) Complete the table by entering the amount by which Jaya's profit for the year would be overstated or understated if **each** error is left **uncorrected**. If an error has no effect on profit, enter zero (0) in the 'no effect' box.

Error 1 has been completed as an example.

Profit for the year

Error	Overstated $	Understated $	No effect
1	*320*		
2			
3			
4			
5			

[7]

[Total: 20]

3.3 Bank reconciliation

#	SOURCE	MARKS	DONE	MARK	REVIEW
01	May/June 2021 - Paper 21 - Question 1	20	☐	☐	☐
02	Oct/Nov 2022 - Paper 22 - Question 3	20	☐	☐	☐
03	Oct/Nov 2023 - Paper 21 - Question 1	20	☐	☐	☐
04	Oct/Nov 2024 - Paper 21 - Question 1	20	☐	☐	☐
05	May/June 2025 - Paper 22 - Question 2	28	☐	☐	☐
06	Oct/Nov 2025 - Paper 22 - Question 1	20	☐	☐	☐

1 Rahat is a trader.

The following transactions took place in March 2021.

March	3	Cash sales, $580, were paid directly into Rahat's business bank account
	6	Paid insurance, $360, by direct debit
	9	Paid $196 to GH Limited by telephone transfer, having deducted 2% cash discount from the amount due
	13	Paid $75 cash for stationery
	17	Cash sales, $140
	27	Sold old office equipment to Burgess, who paid $50 by cheque in full settlement
	30	Paid $340 to Colin by cheque in full settlement of a debt of $350

REQUIRED

(a) Complete Rahat's cash book on the page opposite.
Balance the cash book and bring down the balances on 1 April 2021.

Rahat
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
2021		$	$	$	2021		$	$	$
March 1	*Balance b/d*		*150*		*March 1*	*Balance b/d*			*1980*

[11]

4

(b) Complete the following table by placing a tick (✓) in the correct column to indicate whether **each** item would be used to update the cash book **or** would appear in the bank reconciliation statement.

	Update the cash book	Bank reconciliation statement
Cheque from Burgess dishonoured		
Cheque to Colin unpresented		
Overdraft interest		
Standing order paid for rates		

[4]

Rahat is concerned about the level of her bank overdraft. She is considering applying for a bank loan. This would enable her to pay off her bank overdraft **and** to purchase new office furniture.

REQUIRED

(c) Advise Rahat whether she should apply for the bank loan. Justify your answer by providing **two** advantages and **two** disadvantages.

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.... [5]

[Total: 20]

PLEASE TURN OVER

3 MG has been in business for a number of years as a furniture manufacturer. On 31 August 2022 the bank column of his cash book showed the business had $25 600 in the bank account. The bank statement on this date showed a credit balance of $24 815.

The following transactions were included only in the cash book.

	$
Cheque paid to JW	680
Cheque received from TH	910

In addition, an error had been identified. A standing order for rates of $205 had incorrectly been recorded in the cash book as $255.

The following transactions were included only on the bank statement.

	$
Dishonoured cheque received from RJ	420
Insurance paid by direct debit	110
Bank charges	75

REQUIRED

(a) Update the cash book of MG. Bring down the updated balance on 1 September 2022.

MG
Cash book (bank columns only)

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(b) Prepare a bank reconciliation statement at 31 August 2022.

MG
Bank reconciliation statement at 31 August 2022

....

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.... [4]

(c) State **two** reasons why a business would prepare a bank reconciliation statement.

1 ....

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2 ....

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[2]

(d) State **two** possible reasons why the cheque from RJ was dishonoured.

1 ....

....

2 ....

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[2]

(e) Explain the differences between a direct debit and a standing order.

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.... [2]

(f) A potential new customer has asked MG for a 5% discount on any orders placed. Advise MG on whether to accept or decline these terms. Justify your answer.

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.... [5]

[Total: 20]

1 Shakir started trading in the year ended 31 August 2023 but did not keep proper books of account. His assets and liabilities at 1 September 2023 are as follows.

	$
Motor vehicle	9500
Inventory	1240
Cash at bank	1682
Trade payables:	
Latif	200
Harrison	237

REQUIRED

(a) **(i)** Prepare the journal for Shakir's opening entries at 1 September 2023. A narrative is **not** required.

Shakir
Journal

Date	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

(ii) State **two** advantages of maintaining double entry records.

1 ....

....

2 ....

....

[2]

3

BLANK PAGE

During September 2023, the following transactions took place.

Sept	2	Paid rent, $420, by credit transfer
	4	Withdrew cash, $350, from the bank for business use
	7	Paid Latif, $194, by telephone transfer, in full settlement of the amount owing at 1 September 2023
	10	Sold goods on credit, $195, to Sydney
	12	Paid $161, cash, for wages
	17	Cash sales, $290, were paid directly into the bank account
	28	Received a cheque, $100, from Sydney
	29	Paid $95 to Harrison, by electronic transfer, having deducted $5 cash discount from the amount due

REQUIRED

(b) Prepare Shakir's cash book on the page opposite.

Balance the cash book and bring down the balances at 1 October 2023. [11]

5

Shakir
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
2023		$	$	$	2023		$	$	$

6

Shakir received a bank statement dated 30 September 2023. The bank statement showed that Shakir had $763 in the bank account. On comparing the bank statement to his cash book, Shakir noted the following.

Bank charges, $35, were charged by the bank in September.
Cash Sales, $175, had been paid for by credit transfer but not recorded in the cash book.
The cheque received from Sydney had not yet been cleared by the bank.
The cash sales, $290, had been omitted from the bank statement in error.

REQUIRED

(c) Calculate the corrected bank balance.

....

....

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.... [4]

[Total: 20]

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1 Jenny runs a small trading business.

Jenny received her bank statement which showed a credit balance of $1367 on 29 February 2024. On the same date her bank column in her cash book showed an overdrawn balance of $1933.

When comparing her bank statement and cash book she found that the following items appeared on her bank statement and not in her cash book:

February		$
26	M Stores, a credit customer, had paid by bank transfer	1900
26	Interest received	358
27	A cheque previously received from C Stores had been dishonoured	1121
28	Bank charges	125
28	A direct debit for electricity had been taken	290

The following items appeared in her cash book but not on her bank statement

February		$
23	A cheque paid to B Properties	1025
27	A payment by credit transfer to pay for rent and insurance	2300
28	A cheque received from a credit customer Y Traders was paid into the bank	792

Upon investigation, she discovered the following error:

A cheque made payable to D Sports $45 had been recorded in the bank column of her cash book. The cheque had been written from her personal account to pay for her gym membership.

REQUIRED:

(a) Update the bank column of Jenny's cash book.

Balance the account and bring down the balance on 1 March 2024.

Jenny
Cash book – bank columns

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[7]

(b) Prepare a bank reconciliation statement at 29 February 2024.

Start with the balance from Jenny's bank statement.

Jenny
Bank reconciliation at 29 February 2024

	$	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....

[5]

(c) Suggest **two** advantages of preparing a bank reconciliation statement.

1 ....

....

....

2 ....

....

....
[2]

(d) Explain why a bank overdraft is shown as a debit balance on a bank statement.

....

....

.... [1]

Jenny is concerned about her bank overdraft and is considering adding additional capital into the business from her personal funds.

REQUIRED:

(e) Advise Jenny whether she should contribute additional capital to pay off her bank overdraft. Justify your answer.

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.... [5]

[Total: 20]

Question 2 is on page 6.

Kadima has received a bank statement dated 31 March 2025. The bank statement shows:

1 The cheque for motor expenses had **not** yet been presented to the bank.

2 The amount received from Merve was $357. Kadima has checked his records and found that the amount shown on the bank statement is the correct amount.

REQUIRED

(b) Calculate the amount for the bank balance which Kadima would show in his statement of financial position at 31 March 2025.

....

....

....

.... [3]

Kadima is considering stopping using cash and cheques in his business. All payments would be made directly from the bank account and all customers would be required to pay by bank transfer. He would allow cash discount of 5% for all payments received within 30 days of the invoice.

REQUIRED

(c) Advise Kadima whether or not he should make the above changes. Justify your answer by providing points for and against making these changes.

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.... [5]

[Total: 20]

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2 Farah and Salma are sisters who trade as a partnership. Their partnership agreement provides for the following:

- interest on capital of 2% per annum
- interest on drawings of 4% per annum
- a salary to Farah of $11 200 per annum
- residual profits and losses to be shared as Farah 30%, Salma 70%.

Farah and Salma provided the following details.

		$
Profit for the year ended 28 February 2025		38 175
Capital accounts at 1 March 2024		
Farah		52 000
Salma		75 000
Current accounts at 1 March 2024		
Farah		3 450 credit
Salma		1 900 debit
Drawings for the year ended 28 February 2025		
Farah	drawn from bank on 31 December 2024	14 250
Salma	drawn from bank on 31 December 2024	14 250
	goods taken for own use 31 August 2024	5 750

REQUIRED

(a) Prepare the appropriation account for Farah and Salma for the year ended 28 February 2025.

Farah and Salma
Appropriation Account for the year ended 28 February 2025

	$	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....

[6]

(b) Prepare Farah's current account for the year ended 28 February 2025. Balance the account and bring down the balance at 1 March 2025.

Farah
Current account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[7]

Farah's partner, Salma, wanted to take further drawings.

REQUIRED

(c) State **two** reasons why Salma should **not** take more drawings.

1 ....

....

2 ....

....

[2]

Farah and Salma would like to expand the business. They have decided to convert the business to a limited company.

They are considering selling 30% of the ordinary share capital of the new company to each of their two brothers. The brothers would become directors and would manage the business.

Farah and each brother would receive a salary of $15 000 each year.

REQUIRED

(d) Advise Farah and Salma whether or not they should make the above changes. Justify your answer with advantages and disadvantages to them of making these changes.

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.... [5]

[Total: 20]

1 On 31 March 2025, Zac's bank statement showed an overdrawn balance of $1665, but the bank column of his cash book showed a debit balance of $825 on the same date.

Upon investigation, he discovered that the following items appeared on his bank statement, but **not** in his cash book.

March		$
20	Payment received by bank transfer from Zoe, a credit customer	310
23	Electricity charges paid by direct debit	936
25	Bank charges	58
29	A standing order for insurance had been deducted in error	1121
30	Interest received	45

The following items appeared in his cash book, but **not** on his bank statement.

March		$
27	A cheque payable to AC Motors had **not** been presented	480
30	Cash and cheques deposited into the bank	1210

REQUIRED

(a) Update the bank columns of Zac's cash book.

Balance the account and bring down the balance at 1 April 2025.

Zac
Cash Book – bank columns

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[7]

DO NOT WRITE IN THIS MARGIN

(b) Prepare a bank reconciliation statement at 31 March 2025.

Zac
Bank reconciliation at 31 March 2025

	$	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....

[5]

Currently, Zac completes a bank reconciliation statement twice every year but is now considering completing one every three months.

REQUIRED

(c) Advise Zac whether he should be completing a bank reconciliation statement every three months. Justify your answer by considering advantages and disadvantages of doing so.

....

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.... [5]

(d) State what is meant by the term 'dishonoured cheque'.

....

....

.... [1]

On 5 April, Zac was notified that a cheque paid into his business bank account during March had been dishonoured. The cheque for $128 was from Ali, a credit customer.

REQUIRED

(e) Complete the following table to show the journal entry required to record the dishonoured cheque in Zac's accounts. A narrative is **not** required.

Zac
Journal

Details	Debit $	Credit $

[2]

[Total: 20]

3.4 Control accounts

#	SOURCE	MARKS	DONE	MARK	REVIEW
01	Oct/Nov 2021 - Paper 22 - Question 1	20	☐	☐	☐
02	Feb/Mar 2022 - Paper 22 - Question 2	20	☐	☐	☐
03	Oct/Nov 2022 - Paper 22 - Question 2	20	☐	☐	☐
04	Feb/Mar 2023 - Paper 22 - Question 3	20	☐	☐	☐
05	Feb/Mar 2024 - Paper 22 - Question 2	20	☐	☐	☐
06	Oct/Nov 2025 - Paper 23 - Question 2	20	☐	☐	☐

1 Ayesha is a trader who maintains a full set of accounting records and prepares control accounts at the end of each month.

She provided the following information for the month of August 2021.

	$
On 1 August	
Sales ledger control account debit balance	9800
Sales ledger control account credit balance	420
Purchases ledger control account credit balance	7700
Totals for the month	
Credit sales	88850
Credit purchases	55400
Cash purchases	1860
Receipts from customers	82100
Payments to credit suppliers	50600
Discount received	600
Discount allowed	900
Irrecoverable debt written off	300
Provision for doubtful debts	450
Sales returns	2400
Interest charged to customer on overdue account	90
Contra between sales ledger and purchases ledger	2920

The sales ledger control account credit balance brought down on 1 September 2021 was $350.

REQUIRED

(a) Prepare the sales ledger control account **and** the purchases ledger control account for August 2021.

Balance the accounts and bring down the balances on 1 September 2021.

Ayesha
Sales ledger control account

Date 2021	Details	$	Date 2021	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Purchases ledger control account

Date 2021	Details	$	Date 2021	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[14]

(b) Name the book of prime entry which Ayesha would use to obtain the following information when preparing her sales ledger control account.

Item	Book of prime entry
Returns	
Discount allowed	
Interest charged to customer on overdue account	
Contra entry	

[4]

(c) Suggest **two** reasons why the sales ledger control account had a credit balance of $420 on 1 August 2021.

1 ....

....

2 ....

....

[2]

[Total: 20]

2 Ravi is a trader. He provided the following information.

		$
2021		
1 February	Sales ledger control account debit balance	12 510
	Sales ledger control account credit balance	1 245
2022		
31 January	Totals for the year:	
	Credit sales	134 000
	Cash sales	4 625
	Bank transfers received from credit customers	96 250
	Cash received from credit customers	12 890
	Returns from credit customers	4 000
	Irrecoverable debts written off	9 100
	Contra entries	1 677
	Discount allowed	4 643
	Discount received	2 119
	Interest charged on overdue sales ledger accounts	1 104
	Sales ledger control account debit balance	?
	Sales ledger control account credit balance	nil

REQUIRED

(a) Prepare Ravi's sales ledger control account for the year ended 31 January 2022. Balance the account and bring down the balance on 1 February 2022.

Ravi
Sales ledger control account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[10]

(b) State the accounting principle which is being applied when irrecoverable debts are written off.

.... [1]

(c) Explain why the following interested parties want to know the level of Ravi's trade receivables.

(i) Bank manager

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.... [2]

(ii) Trade payables

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.... [2]

Ravi sends out statements of account to credit customers and charges interest on overdue accounts. He is concerned about the loss caused to his business by irrecoverable debts. He is considering employing a part-time credit controller to contact credit customers by telephone and to start legal action on overdue accounts if necessary. The credit controller would be paid $6800 per annum.

REQUIRED

(d) Advise Ravi whether or not he should employ the credit controller. Justify your answer.

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.... [5]

[Total: 20]

2 MC is a trader who maintains a full set of accounting records and prepares control accounts at the end of each month.

REQUIRED

(a) Complete the table to name the book of prime entry which MC would use to obtain information when preparing control accounts.

Item	Book of prime entry
Discount received from credit suppliers	
Purchases returns	
Contra entries	
Interest charged by credit suppliers	

[4]

(b) Explain how a contra entry is treated in the ledger accounts.

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.... [2]

MC has provided the following information for the month of July 2022.

	$
On 1 July 2022	
Purchases ledger control account credit balance b/d	21 400
Purchases ledger control account debit balance b/d	130
Totals for the month	
Credit purchases	259 600
Credit purchases returns	9 800
Cash purchases	240
Cheques paid to credit suppliers	228 200
Discount received	12 900
Cash paid to credit suppliers	500
Interest charges by credit suppliers	150
Contra sales ledger	2 260

At 31 July 2022 the purchases ledger control account had a credit balance c/d of $180.

REQUIRED

(c) Prepare the purchases ledger control account for the month of July 2022. Balance the account and bring down the balances on 1 August 2022.

MC
Purchases ledger control account

Date	Details	$	Date	Details	$
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[9]

Currently MC purchases all goods from a local supplier. He has been offered a monthly price reduction of $2000 if he changes to an annual contract purchasing all goods from a new overseas supplier.

REQUIRED

(d) Advise MC whether he should change to the new overseas supplier. Justify your answer.

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.... [5]

[Total: 20]

3 Lucas is a trader. He has provided the following information.

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Balances at 1 January 2023	
Sales ledger control account	14 940 debit
Purchases ledger control account	8 450 credit
Totals for January 2023	
Credit sales	12 736
Cash sales	3 992
Credit purchases	7 325
Returns to credit suppliers	463
Returns from credit customers	920
Cash received from credit customers	685
Bank transfers received from credit customers	10 620
Bank payments to credit suppliers	6 675
Irrecoverable debts written off	140
Discount received	210
Contra entries	180
Interest charged on overdue purchases ledger accounts	166

REQUIRED

(a) Prepare the sales ledger control account for January 2023. Balance the account and bring down the balance at 1 February 2023.

Lucas
Sales ledger control

Date	Details	$	Date	Details	$
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[6]

(b) Prepare the purchases ledger control account for January 2023. Balance the account and bring down the balance at 1 February 2023.

Lucas
Purchases ledger control

Date	Details	$	Date	Details	$
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[7]

(c) State **two** advantages of preparing control accounts.

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[2]

One of Lucas's suppliers has demanded immediate payment of the $3900 due to him. Lucas does not have sufficient cash to pay this amount. He is considering selling some office equipment which had cost $6000 and has been fully depreciated. Lucas has been offered $2500 cash for this equipment.

REQUIRED

(d) Advise Lucas whether he should sell this office equipment in order to pay the supplier. Justify your answer.

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.... [5]

[Total: 20]

13

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2 Samir buys and sells on credit. He has provided the following information.

2023		$
1 January	Total trade receivables	10 115
31 December	Totals for the year:	
	Cash sales	136 900
	Credit sales	124 670
	Returns from credit customers	5 234
	Bank transfers received from credit customers	98 620
	Cash received from credit customers	11 470
	Interest charged on overdue sales ledger accounts	139
	Contra entries	1 833
	Discount allowed to credit customers	3 125

In addition, one of Samir's trade receivables, Ria, has become bankrupt and Samir will not receive the $178 which she owes to him. Samir thinks he will receive most of the other amounts due to him from his trade receivables.

REQUIRED

(a) **(i)** Prepare the journal entry to write off the amount owed by Ria. A narrative **is** required.

Samir
Journal

Date	Details	Debit $	Credit $
....	....	....	....
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....	....	....	....
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[3]

(ii) State **two** reasons why Samir should use a provision for doubtful debts account.

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.... [2]

7

(b) Prepare Samir's sales ledger control account for the year ended 31 December 2023. Balance the account and bring down the balance at 1 January 2024.

Samir
Sales ledger control account

Date	Details	$	Date	Details	$
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[9]

Samir is concerned about his ability to pay his trade payables. He is considering whether to stop allowing cash discount to his credit customers so that he will have more cash coming in and can pay his trade payables more easily.

REQUIRED

(c) **(i)** Advise Samir whether or not to stop allowing cash discount. Justify your answer by providing advantages and disadvantages of stopping cash discount to his credit customers.

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.... [5]

(ii) Suggest **one** other action which Samir could take to ensure that he has sufficient cash to pay his trade payables.

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.... [1]

[Total: 20]

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2 Jenny maintains a full set of accounting records and prepares control accounts at the end of each month. She has provided the following information:

2025			$	
January	31	Sales ledger control account balance	1 895	debit
February	28	Totals for the month		
		Sales journal	42 600	
		Cash sales	2 300	
		Sales returns journal	7 300	
		Bank transfers received from credit customers	?	
		Discount allowed	1 265	
		Irrecoverable debts	1 040	
		Contra entries	2 850	
		Interest charged on overdue accounts	510	
March	1	Sales ledger control account balance	750	credit

REQUIRED:

(a) Prepare Jenny's sales ledger control account for the month ended 28 February 2025. Balance the account and bring down the balance at 1 March 2025.

Jenny
Sales ledger control account

Date	Details	$	Date	Details	$
2025			*2025*		
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[9]

(b) State **one** advantage of maintaining a sales journal.

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.... [1]

(c) Complete the following table by indicating the name of the source document that Jenny would use to make entries in her books of prime entry.

State whether the source document is **issued** or **received** by Jenny.

Book of prime entry	Source document	Issued or Received
Sales journal		
Purchases returns journal		

[2]

(d) State what is meant by the following terms:

(i) cash discount

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.... [1]

(ii) trade discount.

....

.... [1]

Jenny has received goods from one of her credit suppliers. When she inspected the goods, she found they were faulty.

REQUIRED

(e) Name the document Jenny would issue to her supplier to record the receipt of these faulty goods.

.... [1]

Jenny currently does **not** maintain a provision for doubtful debts. When all reasonable steps to obtain payment from credit customers have failed, she writes off the debt. Her colleague has advised her that she should create a provision for doubtful debts when she prepares her next set of financial statements.

REQUIRED

(f) Advise Jenny whether or not she should create and maintain a provision for doubtful debts. Justify your answer by providing **two** arguments for and **two** arguments against maintaining a provision for doubtful debts.

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.... [5]

[Total: 20]